Direct Capitalization: Walgreens, 4385 S Archer Ave, Chicago, IL 60632

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Property and lease abstract

The Walgreens sits on the hard corner of Archer and Kedzie Avenues at 4385 South Archer Avenue, Chicago, IL 60632. It is a mile south of Interstate 55 and half a mile north of the CTA Orange Line's Kedzie station. According to the Boulder Group's offering memorandum, the building is 15,120 SF on a 51,394 SF site and was built in 2001. The landlord spent more than $165,000 in 2015 on a new roof and parking lot, and the roof came with a 20-year transferable warranty. When the OM was written, the store reported about $4 million in annual sales.

Lease term	Offering memorandum	Assumed for this assignment
Tenant	Walgreens (Walgreen Co.), then rated BBB by S&P	Walgreens, privately held by Sycamore Partners since August 2025; ratings withdrawn
Rent commencement	December 16, 2000	October 1, 2026
Lease expiration	December 31, 2030	September 30, 2046 (20-year term)
Renewal options	Eight 5-year options	Eight 5-year options, carried forward
Annual rent (NOI in the OM)	$391,170 ($25.87 per SF)	$391,170, flat for the term
Lease type	NN: landlord responsible for roof and structure; tenant pays taxes, insurance, and operating costs	Same
Asking price and cap rate in the OM	$6,686,667 at 5.85%	Not relied on; superseded by the cap rate analysis below

The OM gives no rent schedule and no escalations. That fits Walgreens leases of this vintage, where rent stays flat through the primary term and every option. The OM calls the $391,170 net operating income because the tenant pays or reimburses every operating cost except the roof and structure, but this analysis uses it as the contract rent. The landlord still pays for roof and structural repairs and for its own management and administration. Those costs are the gap between potential gross income and NOI in the statement below.

Income

Potential gross income is the $391,170 contract rent ($25.87 per SF). It stays flat for the full 20-year term starting October 1, 2026. The OM shows no escalations, and Walgreens leases of this kind do not have them in the primary term, so the analysis assumes no rent growth.

Reimbursements cover what the tenant pays under the NN lease for real estate taxes ($76,949) and insurance ($12,000), $88,949 in total. The assigned format shows them twice, once as income and once as fixed expenses, so they cancel out and leave NOI unchanged.

Vacancy and collection loss is 3 percent of potential gross income plus reimbursements, or $14,404. With one tenant on a fresh 20-year lease, rollover risk is low. The tenant's credit is the concern. Walgreens fell below investment grade in fiscal 2024, announced 1,200 to 1,300 store closures over three years in October 2024, and was taken private by Sycamore Partners in August 2025, after which its ratings were withdrawn. This store's reported $4 million in sales is well above the chain average, which is why the allowance stays at 3 percent rather than going higher.

Effective gross income is $465,716.

Expenses

Real estate taxes (fixed). The site covers ten Cook County parcels in Lake Township, tax code 72127. All ten carry the 4385 S Archer Ave address and the same owner, ExchangeRight NLP 14. The Assessor's open data shows the 2024 Board of Review values below, and the 2025 certified values are the same.

PIN	Class	2024 mailed AV	2024 Board of Review AV (= 2025 certified)
19-02-414-001	590	$20,015	$19,749
19-02-414-002	517	$28,832	$24,804
19-02-414-003	517	$58,169	$47,235
19-02-414-004	517	$113,890	$92,600
19-02-414-008	590	$13,023	$12,716
19-02-414-009	590	$13,499	$13,192
19-02-414-010	590	$20,184	$19,447
19-02-414-044	517	$33,519	$29,491
19-02-414-045	517	$92,091	$74,829
19-02-414-046	590	$50,908	$48,944
Total		$444,130	$383,007

Source: Cook County Assessor, Assessed Values dataset (uzyt-m557) and Parcel Addresses dataset (3723-97qp), datacatalog.cookcountyil.gov, read October 26, 2026; parcel pages at cookcountyassessoril.gov for PINs 004, 008 and 045.

The tax bill is assessed value times the state equalization factor times the composite tax rate. The $383,007 total assessed value times the final 2024 Cook County equalizer of 3.0355 (Illinois Department of Revenue, May 29, 2025) gives an equalized assessed value of $1,162,618. At the 2024 City of Chicago general composite rate of 6.618606 percent (Cook County Clerk, 2024 Tax Rate Report), the tax is $76,949, or $5.09 per SF. That 2024 bill, paid in 2025, is the latest full bill. The 2025 assessed values have not changed and the 2025 rate is not out yet, so $76,949 is carried as the stabilized figure. At the 25 percent commercial assessment level, these values imply a market value of only about $1.53 million, far below the value reached here, so taxes could rise sharply at the 2027 Lake Township reassessment if the Assessor picks up a sale. The NN lease puts that increase on the tenant.

Insurance (fixed, estimated). The OM gives no policy figure, so this is an estimate. Rebuilding 15,120 SF at about $275 per SF, a 2026 Chicago retail construction cost, comes to roughly $4.2 million. A property premium near $0.30 per $100 of insured value is about $12,500, and general liability adds about $2,500. After a credit for the tenant carrying its own contents and liability coverage, the estimate is $12,000 a year, or $0.79 per SF. That sits near the top of the typical $0.40 to $0.80 per SF range for Midwest single-tenant retail, because Illinois commercial property premiums rose 5.6 percent in 2025 (Illinois Department of Insurance). The tenant reimburses it.

Management (variable). Even with a net lease, the owner pays for lease administration, accounting, tax appeals, and inspections. This analysis uses 2 percent of effective gross income, $9,314, which the tenant does not reimburse.

Reserves for replacement (variable). The lease leaves the roof and structure with the landlord, and the OM shows the landlord also paid for the 2015 roof and parking lot work, so both get a reserve. Unit costs come from 2026 published cost guides that track RSMeans ranges: installed TPO roofing runs $6 to $12 per SF and asphalt mill and overlay runs $2.50 to $5.50 per SF. These should be checked in RSMeans Online with the Chicago city cost index before the total is relied on.

Component	Quantity	Unit cost	Replacement cost	Life	Annual reserve
TPO roof	15,120 SF	$9.00	$136,080	20 years	$6,804
Parking lot mill and overlay	31,000 SF	$4.00	$124,000	15 years	$8,267
Structural contingency					$2,000
Total, rounded					$17,000

The roof's 20-year warranty runs through 2035. That cuts the near-term exposure, but over a 20-year lease the annual reserve stays the same.

NOI statement

Line	Basis	Amount
Potential gross income	Contract rent, $25.87 per SF, flat	$391,170
Plus: reimbursements	Taxes $76,949 plus insurance $12,000	$88,949
Less: vacancy and collection loss	3.0% of PGI plus reimbursements	($14,404)
Effective gross income		$465,716
Less: fixed expenses, real estate taxes	2024 bill, tax code 72127	($76,949)
Less: fixed expenses, insurance	Estimated	($12,000)
Less: variable expenses, management	2.0% of EGI	($9,314)
Less: variable expenses, reserves	Roof, parking lot, structure	($17,000)
Net operating income	$23.18 per SF	$350,452

The OM's $391,170 "NOI" is the rent before the landlord's own costs. A buyer of an NN lease underwrites vacancy, management, and reserves on top of it, and those make up the $40,718 difference.

Cap rate selection

The main source is the Boulder Group's Net Lease Market Report for Q3 2026, published in October 2026. It puts the overall single tenant net lease asking cap rate at 6.92 percent, retail at 6.69 percent, and the drug store sector at 7.94 percent. Walgreens across all lease terms asks 8.20 percent. By remaining term, the Walgreens medians are 6.85 percent for 15 to 19 years, 7.60 percent for 10 to 14 years, 8.65 percent for 6 to 9 years, and 9.30 percent for 5 years or less. CVS with 15 to 19 years asks 6.40 percent. The report also lists one closed Walgreens sale: Houston, Texas, in July 2026, for $6,150,000 ($419 per SF) at a 7.66 percent cap rate with 7 years left on the lease. Boulder's Q3 2026 Net Lease Tenant Profiles give Walgreens ranges of 6.40 to 6.75 percent on a 15-year term, 7.40 to 8.00 percent on 10 years, and 8.60 to 9.00 percent on 5 years, and describe the typical Walgreens lease as triple net for 15 years with the tenant private and unrated. As a cross-check, tradenetlease.com counted 281 Walgreens listings in May 2026 at an average asking cap rate of 7.82 percent and 8.2 years of remaining term. The 10-year Treasury stayed above 5 percent throughout the quarter.

With a new 20-year term, the subject falls in Boulder's longest bucket, where Walgreens asks 6.85 percent and the tenant profile range is 6.40 to 6.75 percent. The longer term, store sales of about $4 million, and a hard-corner infill site with 60,000 vehicles a day and a CTA station half a mile away all argue for the low end. The lease cuts the other way. It is NN rather than the triple net structure the profile assumes, so the landlord keeps the roof, structure, and parking lot, and the rent is flat for 20 years while Treasury yields are above 5 percent. The Houston sale, with 7 years left, closed at 7.66 percent, about 100 basis points inside the 8.65 percent asking median for its bucket, so a well-located store can trade inside the medians. Weighing all of this, the selected cap rate is 6.75 percent, the top of the 15-year profile range and 10 basis points inside the 15 to 19 year median.

Value by direct capitalization

Item	Amount
Net operating income	$350,452
Capitalization rate	6.75%
Indicated value	$5,191,881
Rounded	$5,190,000
Per SF of building (15,120 SF)	$343
Per SF of land (51,394 SF)	$101

Sensitivity: 6.50 percent gives $5,392,000 ($357 per SF), and 7.00 percent gives $5,006,000 ($331 per SF).

This value is about 22 percent below the 2016 offering price of $6,686,667, which was set at a 5.85 percent cap rate. Two things account for the gap. Capitalized at 6.75 percent, the OM's $391,170 would be worth $5,795,000, 13 percent less, because Walgreens has lost its investment grade rating and the 10-year Treasury is above 5 percent. Deducting vacancy, management, and reserves, which the OM left at zero, takes off another $603,000.